MARKET CASE STUDY

Can Anyone Break India's UPI Duopoly?

Why PhonePe and Google Pay still dominate, who is chipping away at them, and how new merchant fees change the game.

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The question

UPI is the world's largest real-time payments network, and two apps run most of it. PhonePe and Google Pay together have processed around 80% of UPI transactions for years. In 2026 three things changed at once: smaller apps started winning share, merchant fees returned to UPI, and NPCI's 30% market-share cap came close to its deadline. This case study asks: **can anyone break the duopoly, and what should a challenger do?**

79%
PhonePe + Google Pay share in May 2026, the first time below 80%

25.5B
UPI transactions in October 2026, a monthly record

0.4%
new merchant fee (MDR) on UPI payments above ₹2,000, from 15 Oct 2026

Answer in one line: The duopoly is loosening but not breaking. Challengers are winning by attaching UPI to something people already want (credit, shopping rewards, chat). The new merchant fees will reward whoever owns merchant relationships, which today still means the incumbents.

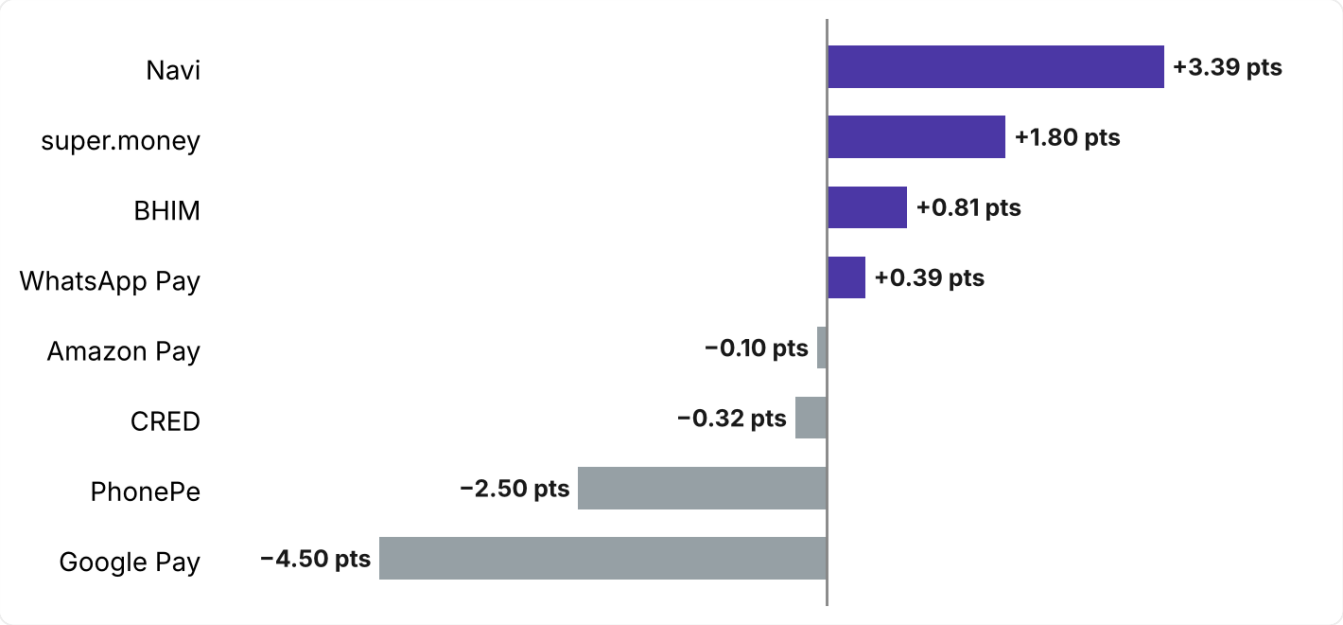
1. How the market is split

App	Share of UPI volume (May 2026)	Backed by	How it grows
PhonePe	46.2%	Walmart	Default habit, largest merchant QR network
Google Pay	32.7%	Google	Android distribution, peer-to-peer payments
Paytm	7.9%	Listed company	Merchant devices (soundbox, POS)
Navi	3.6%	Sachin Bansal	Lending ecosystem plus cashback
super.money	1.8%	Flipkart	Shopping rewards, credit-linked offers
BHIM	0.98%	NPCI	Renewed push by NPCI
CRED	0.68%	Meta (minority stake)	Premium users, high-value payments

WhatsApp Pay	0.65%	Meta	Payments inside chat; onboarding cap removed

Shares by transaction volume, from NPCI data as reported by NiftyTrader and Outlook Business.

2. Who is winning share



Change in UPI volume share, May 2024 to May 2026, in percentage points. super.money launched after May 2024, so its starting share is counted as zero.

Google Pay lost the most (−4.5 points), followed by PhonePe (−2.5). Almost all of that went to apps launched in the last two years: Navi and super.money together took 5.4 points. Over the same period, the top three apps' combined share fell from 95.2% (Jan 2024) to 87% (May 2026).

3. Why the duopoly has lasted

UPI is **interoperable**: any app can pay any UPI ID or QR code, so there is no network effect locking users in. The leaders stay on top for three other reasons:

1. **Habit and being the default.** Payments are the most-used feature on a phone. The first app someone learns to pay with tends to stay their default.
2. **Merchant acceptance.** PhonePe and Paytm have spent years putting QR codes and soundboxes in shops. The app whose sticker is on the counter gets a nudge at every purchase.
3. **Zero fees made payments a loss-leader.** With no merchant fee since 2020, only companies with deep pockets could afford to run UPI at scale. Challengers had to pay users with cashback just to compete.

4. How challengers are breaking in

Challenger	Wedge	Why it works	Weakness
Navi	UPI as the entry point to loans	Each payment user is a cheap lending lead, so cashback pays for itself	Depends on credit cycles and on cashback

super.money	Flipkart shopping rewards	Flipkart has a huge buyer base to bring in, and rewards are paid for by commerce	Users may leave when rewards end
WhatsApp Pay	Payments inside chat	Hundreds of millions already use WhatsApp daily; a payment fits naturally into a conversation	Late start, low merchant presence so far
BHIM	Neutral, government-backed app	NPCI support and incentives	Limited product investment compared with private apps

The pattern: **nobody wins on payments alone.** Each challenger uses UPI to feed a business that already makes money, such as lending, commerce or messaging.

5. Two rule changes that reshape the game

The merchant fee (MDR) is back

From 15 October 2026, merchants pay a **0.4% fee on UPI payments above ₹2,000**, capped at ₹300 per transaction. Person-to-person payments and smaller merchant payments stay free. Reports suggest payment apps will get about 20% of the fee. Bernstein estimates the fee could bring payment apps up to about $1.1 billion a year by March 2028.

Who benefits: the fee is earned on merchant payments, so apps with large merchant networks (PhonePe, Paytm, Google Pay) gain most. Analysts expect smaller apps to have less bargaining power with banks over how the fee is shared.

The 30% cap, due 31 December 2026

NPCI's rule says no single third-party app should process more than 30% of UPI volume. It was proposed in 2020 and has been extended three times. If enforced, apps above 30% would have to stop onboarding new users. PhonePe (46%) and Google Pay (33%) are both over the limit.

Scenario	What happens	Who gains
Cap extended again	Status quo; share keeps drifting slowly to challengers	Incumbents, who also gain most from the fee
Cap enforced through onboarding limits	New UPI users are pushed to other apps	Challengers with strong first-time user journeys (WhatsApp, Navi, super.money)
Cap enforced gradually	A slow, managed shift	Challengers that are ready to win new users when they arrive

6. What I'd do as a challenger

#	Move	Why	Metric
1	**Own one high-value moment**, such as credit on UPI or splitting payments in chat, rather than chasing general P2P volume	Cashback-driven volume leaves when the cashback ends; a moment tied to the product keeps users	Share of users who still pay 90 days after their first payment, without rewards

2	**Build merchant acceptance in specific categories** (pharmacies, fuel, education fees) where most payments are above ₹2,000	That is where the new fee is earned	Merchant payment volume above ₹2,000; fee revenue per merchant
3	**Prepare for new users** before the cap decision: the simplest first-payment setup and bank-linking flow on the market	If onboarding caps arrive, new users will choose whichever app is easiest to start with	Time from install to first payment; setup completion rate
4	**Use payments data to price credit and insurance**	Payments themselves make little money; the products built on them do	Revenue per monthly transacting user

7. Risks to this view

- **Fee pushback.** Merchants may push customers back to cash or cards for large purchases, which would shrink the fee pool.
- **Cap reversed or diluted.** NPCI has delayed it three times, so challengers shouldn't build their plans around it.
- **Cashback-driven share.** Some challenger gains may disappear when incentives are cut.

Sources

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- Big to get bigger: India's UPI fee shift to entrench dominant incumbents, Reuters via Khaleej Times (Bernstein estimate)
- UPI MDR return may strengthen PhonePe, Google Pay and Paytm's merchant dominance, Free Press Journal
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